

Research on the Upscaling and Strategy of United Airlines (March 2020 – March 2023)

Executive Summary

Between **March 2020 and March 2023**, United Airlines transformed from a company focused on survival during the COVID-19 crisis into one pursuing aggressive growth and premium market leadership. The airline's strategy evolved through three major phases:

Phase	Period	Primary Strategy
Crisis Management	March 2020 – December 2020	Preserve liquidity, reduce costs, maintain essential operations
Recovery & Transformation	January 2021 – December 2021	Rebuild network, modernize fleet, invest in long-term growth
Upscaling & Expansion	January 2022 – March 2023	Expand international routes, premium services, and fleet while restoring profitability

1. Phase One: Crisis Management (March 2020 – December 2020)

Background

The COVID-19 pandemic caused one of the largest disruptions in aviation history. Global travel restrictions led to an unprecedented decline in passenger demand.

United Airlines' Challenges

- Passenger demand fell by over 90% during the early months.
- International travel nearly stopped.
- Significant revenue losses.
- Excess aircraft and workforce.
- High fixed operating costs.

Strategic Actions

A. Liquidity Preservation

United prioritized maintaining sufficient cash reserves by:

- Raising billions through secured loans and debt financing.
- Using government support under the U.S. CARES Act.
- Delaying non-essential capital expenditures.
- Reducing discretionary spending.

The company focused on ensuring it had enough liquidity to survive an extended downturn.  S... +1

B. Cost Reduction

Major initiatives included:

- Voluntary leave programs.
- Early retirement packages.
- Temporary salary reductions.
- Delayed aircraft deliveries.
- Reduced airport operating costs.
- Capacity reductions.

United also planned furloughs before government payroll support allowed many employees to return.  S...

C. Network Optimization

Instead of completely shutting down operations, United:

- Maintained essential domestic routes.
- Continued important international connections.
- Increased cargo operations.
- Operated special repatriation flights.

Cargo became a critical revenue source during the pandemic.  United - Newsr... +1

2. Phase Two: Recovery and Transformation (2021)

Rather than waiting for full recovery, United invested heavily in future growth.

A. "Recovery Before Competitors"

CEO Scott Kirby emphasized preparing for recovery while many competitors remained focused on cost-cutting.

United aimed to:

- Recover capacity quickly.
- Rebuild international operations.
- Improve operational efficiency.
- Position itself for post-pandemic demand.

The company projected that margins could exceed pre-pandemic levels by 2023.

 United - Newsr...

B. Route Expansion

Despite the pandemic, United:

- Added new domestic routes.
- Expanded services to India.
- Planned a return to New York JFK Airport.
- Increased seasonal leisure destinations.

By late 2020 and into 2021, the airline continued launching new routes to capture recovering demand.  United - Newsr...

C. International Focus

Unlike many competitors, United emphasized:

- Europe
- India
- Africa
- Latin America
- Pacific markets

The airline expected international travel to become its major growth engine.

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D. Fleet Modernization

United accelerated investments in:

- More fuel-efficient aircraft.
- Larger narrow-body aircraft.
- Cabin modernization.
- Better customer experience.

This initiative later became central to its long-term "United Next" strategy.

3. Phase Three: Upscaling Strategy (2022 – March 2023)

This period marked United's transition from recovery to expansion.

A. Premium Customer Strategy

United shifted toward attracting higher-value travelers through:

- More premium seats.
- Enhanced business-class offerings.
- Improved airport lounges.
- Better onboard services.
- Expansion of the MileagePlus loyalty program.

Business and premium leisure demand recovered faster than expected.  United Airlines ... +1

B. International Growth

United expanded international capacity while keeping domestic capacity relatively stable.

Focus markets included:

- Europe
- India
- Africa
- Middle East
- Latin America

This leveraged United's strong coastal hubs and international network.  United - Newsr... +1

C. Digital Transformation

United invested in:

- Mobile application improvements.
- Self-service airport technologies.
- Contactless check-in.
- Digital customer support.
- Operational analytics.

These initiatives improved customer experience and reduced operating costs.

D. Sustainability

The airline strengthened its environmental strategy by investing in:

- Sustainable aviation fuel (SAF)
- Carbon reduction initiatives
- Fuel-efficient aircraft
- Clean aviation technologies

These investments complemented its broader long-term strategy.  United Airlines ...

4. Financial Recovery

2020

- Record financial losses.
 - Heavy cash burn.
 - Large debt issuance.
 - Survival-focused operations.
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2021

Recovery indicators included:

- Improved passenger demand.
 - Strong leisure travel.
 - Cargo revenue growth.
 - Rising business travel.
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2022

Performance strengthened through:

- Higher fares.
- Increased load factors.
- Strong international demand.
- Improved profitability.

By early 2023, United's earnings, cash flow, and liquidity had improved sufficiently for its credit rating to be upgraded, supported by sustained travel demand and plans for capacity

5. Timeline (March 2020 – March 2023)

Period	Major Strategy	Outcome
Mar 2020	COVID crisis begins	Passenger demand collapses
Apr–Jun 2020	Cost reduction and liquidity preservation	Business stabilization
Jul–Dec 2020	Cargo growth and selective route additions	Improved cash generation
Jan 2021	Recovery strategy announced	Long-term investment begins
Mid 2021	Fleet modernization	Operational efficiency improves
Late 2021	International reopening	Premium demand strengthens
2022	Global expansion	Revenue and profitability recover
Mar 2023	Upscaling phase	Strong liquidity, improved margins, upgraded credit outlook

Key Upscaling Strategies

Strategy	Objective	Result
Fleet modernization	Lower operating costs and improve customer experience	Higher efficiency and long-term competitiveness
Premium services	Increase revenue per passenger	Growth in premium and business travel
International expansion	Capture high-margin markets	Strong recovery in international revenue
Digital transformation	Improve customer experience and efficiency	Faster, more seamless operations

Strategy	Objective	Result
Loyalty program expansion	Increase customer retention	Strong MileagePlus engagement
Sustainability investments	Build long-term resilience	Enhanced environmental positioning

Conclusion

From **March 2020 to March 2023**, United Airlines progressed through three distinct stages: crisis management, recovery, and expansion. Initially focused on preserving cash and reducing costs, it then shifted toward rebuilding its network, modernizing its fleet, and investing in digital capabilities. By early 2023, the airline had positioned itself for long-term growth through international expansion, premium services, and operational efficiency, while restoring profitability and strengthening its financial profile.  S... +3